

KNOW YOUR CUSTOMER & CUSTOMER DUE DILIGENCE POLICY

Credit Underwriter AI | Enterprise Portfolio Knowledge Base

Document ID	CUAI-KYC-001
Version	1.0
Classification	Internal Use Only
Effective Date	01 August 2026
Owner	KYC & Compliance
Review Cycle	Annual or on material change

1. Purpose

Define identity verification, customer due diligence, beneficial-ownership and ongoing verification controls used by Document Verification and Policy Compliance agents. The structure is aligned conceptually with RBI KYC requirements, while this document remains a fictional project policy.

2. Scope

This fictional internal policy is designed for the Credit Underwriter AI portfolio project. It supports automated underwriting, human review, auditability and policy-aware AI explanations. It is not a policy of any real financial institution.

3. KYC Principles

- Identify the customer before establishing or materially servicing the relationship as required by applicable rules.
- Use reliable, independent and appropriate evidence.
- Maintain an audit trail of verification steps and outcomes.
- Apply enhanced scrutiny to higher-risk situations.
- Do not treat OCR extraction alone as proof of identity.

4. Identity Verification Matrix

Evidence Type	Validation	Failure Action
Government identity	Name/DOB/identifier consistency and validity checks	Manual Review
Address evidence	Address consistency and validity where required	Manual Review
PAN/tax identifier where applicable	Format and identity consistency	Manual Review
Selfie/liveness where configured	Match against identity evidence	Fraud/Manual Review
Business documents	Legal existence and authorized-person checks	Manual Review

5. Customer Due Diligence

- Capture customer identity, risk-relevant profile information and required declarations.
- Identify beneficial owners for applicable legal entities.
- Understand the purpose/nature of the relationship where required.
- Maintain risk classification and review triggers.
- Perform ongoing due diligence consistent with applicable requirements.

6. Enhanced Due Diligence Triggers

- High-risk customer classification.
- Unusual or inconsistent identity information.
- Complex ownership/control structure.
- Material adverse or sanctions-related screening result where applicable.
- Unusual source-of-funds/source-of-income concern.

7. AI/KYC Controls

- Identity agents must return structured evidence status, confidence and failure reason.
- AI must not declare identity verified solely from a language-model response.
- Low-confidence OCR or face/document mismatch must be escalated.
- Sensitive identity data must be minimized, access-controlled and retained according to configured policy.

8. Audit Fields

- Document type
- Document reference
- Extraction result
- Verification method
- Verification timestamp
- Confidence/status
- Exception code
- Reviewer/override

Document Control

Version	Date	Change
1.0	01 August 2026	Initial enterprise-style portfolio knowledge-base document

Important Disclaimer

All numeric thresholds, approval limits, scoring bands and operating procedures in these internal documents are illustrative project controls. They must not be presented as universal regulatory requirements. Regulatory content is maintained separately in the RBI Guidelines document and should be refreshed from authoritative RBI sources before any real-world use.